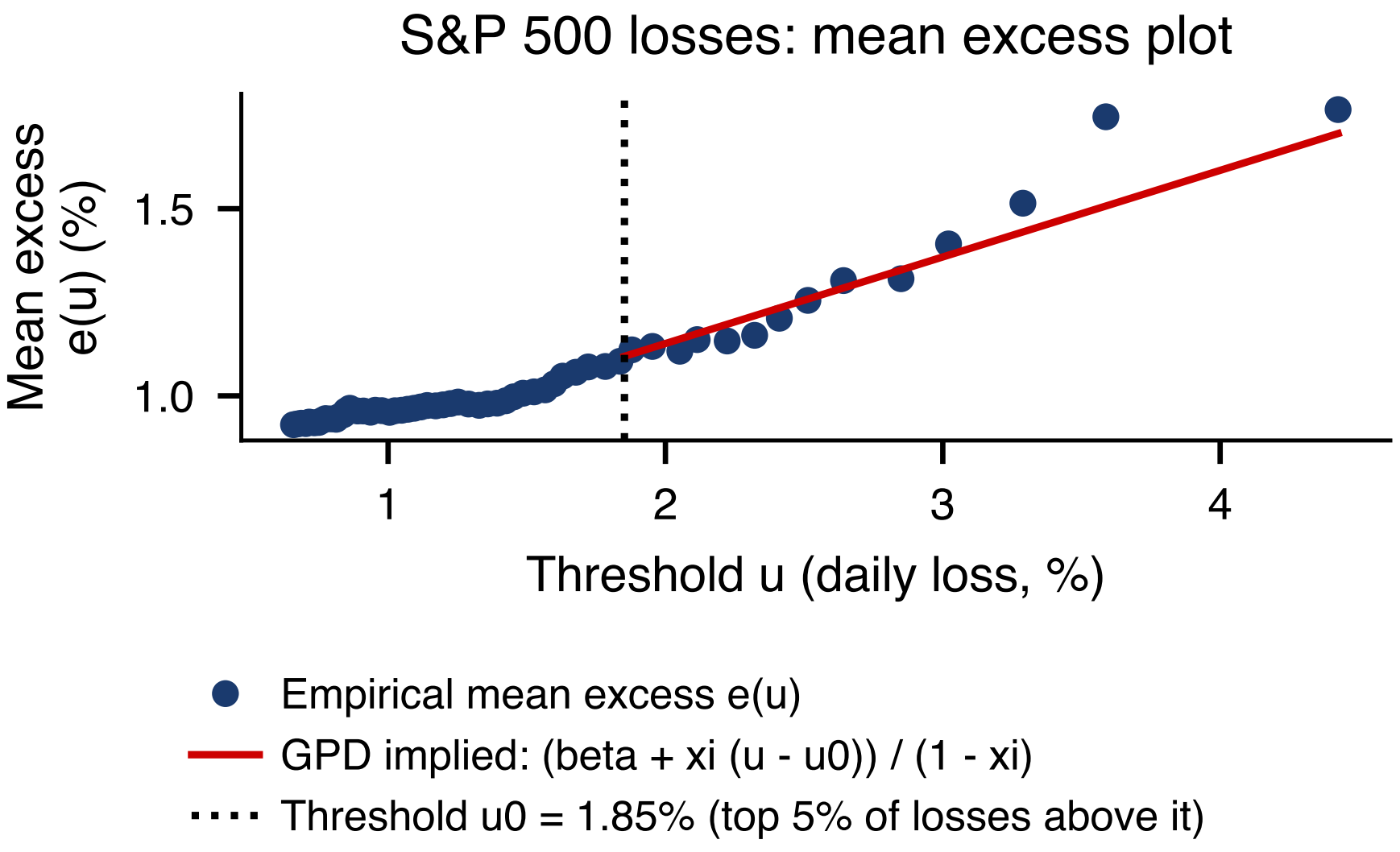
S&P 500 losses: mean excess plot
Mean excess
e(u) (%)
1.5
1.0
1
2
3
4
Threshold u (daily loss, %)
Empirical mean excess e(u)
GPD implied: (beta + xi (u - u0)) / (1 - xi)
Threshold u0 = 1.85% (top 5% of losses above it)